

Economic activity in the manufacturing sector grew in July, with the overall economy notching a 14th consecutive month of growth, say the nation's supply executives in the latest Manufacturing ISM® *Report On Business*®.

The July Manufacturing PMI® registered 59.5 percent. The New Orders Index registered 64.9 percent, decreasing 1.1 percentage points from the June reading of 66 percent. The Production Index registered 58.4 percent, a decrease of 2.4 percentage points compared to the June reading of 60.8 percent. The Prices Index registered 85.7 percent, down 6.4 percentage points compared to the June figure of 92.1 percent, which was the index's highest reading since July 1979 (93.1 percent). The Backlog of Orders Index registered 65 percent, 0.5 percentage point higher than the June reading of 64.5 percent. The Employment Index registered 52.9 percent, 3 percentage points higher compared to the June reading of 49.9 percent.

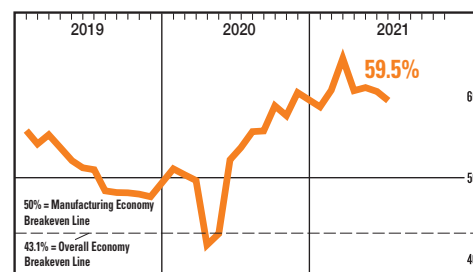
Seventeen of 18 manufacturing industries reported growth in July, in the following order: Furniture & Related Products; Printing & Related Support Activities; Apparel, Leather & Allied Products; Miscellaneous Manufacturing†; Computer & Electronic Products; Nonmetallic Mineral Products; Machinery; Fabricated Metal Products; Paper Products; Chemical Products; Food, Beverage & Tobacco Products; Primary Metals; Plastics & Rubber Products; Transportation Equipment; Electrical Equipment, Appliances & Components; Wood Products; and Petroleum & Coal Products. **ISM**

†**Miscellaneous Manufacturing** (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



MANUFACTURING PMI® at 59.5%

Manufacturing grew in July, as the Manufacturing PMI® registered 59.5 percent. Four out of five subindexes that directly factor into the Manufacturing PMI® were in growth territory. All of the six biggest manufacturing industries expanded, in the following order: Computer & Electronic Products; Fabricated Metal Products; Chemical Products; Food, Beverage & Tobacco Products; Transportation Equipment; and Petroleum & Coal Products.



Manufacturing at a Glance

INDEX	Jul Index	Jun Index	% Point Change	Direction	Rate of Change	Trend* (months)
Manufacturing PMI®	59.5	60.6	-1.1	Growing	Slower	14
New Orders	64.9	66.0	-1.1	Growing	Slower	14
Production	58.4	60.8	-2.4	Growing	Slower	14
Employment	52.9	49.9	+3.0	Growing	From Contracting	1
Supplier Deliveries	72.5	75.1	-2.6	Slowing	Slower	65
Inventories	48.9	51.1	-2.2	Contracting	From Growing	1
Customers' Inventories	25.0	30.8	-5.8	Too Low	Faster	58
Prices	85.7	92.1	-6.4	Increasing	Slower	14
Backlog of Orders	65.0	64.5	+0.5	Growing	Faster	13
New Export Orders	55.7	56.2	-0.5	Growing	Slower	13
Imports	53.7	61.0	-7.3	Growing	Slower	13
Overall Economy				Growing	Slower	14
Manufacturing Sector				Growing	Slower	14

*Number of months moving in current direction.

Manufacturing ISM® *Report On Business*® data is seasonally adjusted for the New Orders, Production, Employment and Inventories indexes.

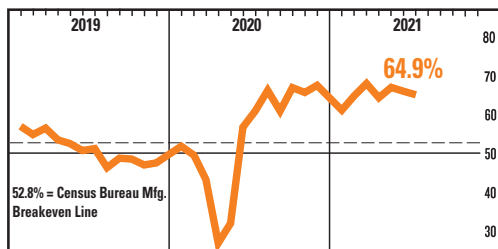


Commodities Reported

Note: The number of consecutive months the commodity is listed is indicated after each item.

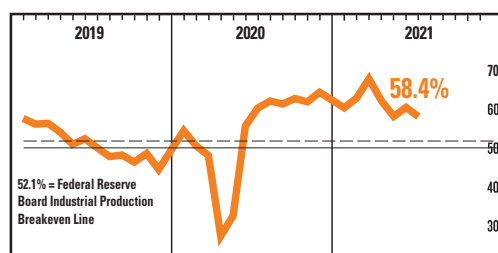
Commodities Up in Price: Adhesives; Aluminum (14); Aluminum Products (4); Ammonia; Cable & Harnesses; Capacitors; Caustic Soda (2); Coatings (4); Copper (14); Corrugate (10); Corrugated Packaging (9); Crude Oil (2); Diesel Fuel (7); Electrical Components (8); Electrical Motors; Electronic Components (8); Ethylene; Freight (9); High-Density Polyethylene (HDPE) (7); Hydraulic Components; Labor — Temporary (3); Lumber* (13); Medium-Density Fiberboard (MDF); Natural Gas; Ocean Freight (8); Packaging Film; Packaging Supplies (8); Pallets; Paper Products; Phosphates; Plastic Resins (11); Polyethylene (6); Polyols; Polypropylene (13); Polyvinyl Chloride (PVC) Products (2); Printed Circuit Board Assemblies (PCBAs); Propylene; Resin-Based Products (6); Resins; Resistors; Semiconductors (6); Shipping Containers; Solvents; Steel (12); Steel — Carbon (8); Steel — Hot Rolled (11); Steel — Scrap (3); Steel — Stainless (9); Steel Products (11); Steel Wire; Sulfuric Acid; Totes; Wood (2); and Wood Products (2).

Note: To view the full list, visit the ISM website at ismworld.org.



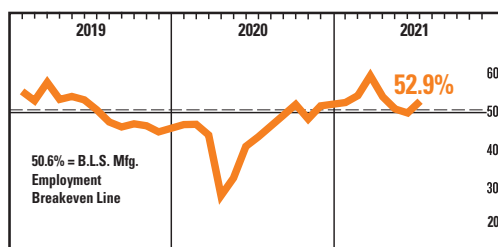
New Orders

ISM's New Orders Index registered 64.9 percent. Of the 18 manufacturing industries, the 15 that reported growth in new orders in July — in the following order — are: Furniture & Related Products; Computer & Electronic Products; Printing & Related Support Activities; Machinery; Miscellaneous Manufacturing[‡]; Paper Products; Electrical Equipment, Appliances & Components; Chemical Products; Food, Beverage & Tobacco Products; Transportation Equipment; Fabricated Metal Products; Petroleum & Coal Products; Nonmetallic Mineral Products; Plastics & Rubber Products; and Primary Metals.



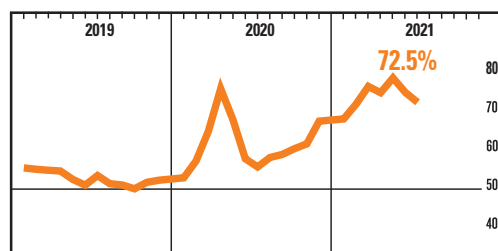
Production

The Production Index registered 58.4 percent. The 16 industries reporting growth in production during the month of July — listed in order — are: Printing & Related Support Activities; Chemical Products; Wood Products; Furniture & Related Products; Primary Metals; Miscellaneous Manufacturing[‡]; Petroleum & Coal Products; Computer & Electronic Products; Nonmetallic Mineral Products; Transportation Equipment; Paper Products; Electrical Equipment, Appliances & Components; Food, Beverage & Tobacco Products; Fabricated Metal Products; Machinery; and Plastics & Rubber Products.



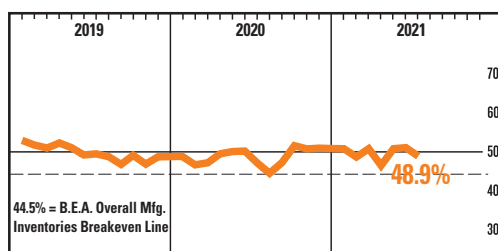
Employment

ISM's Employment Index registered 52.9 percent. Of the 18 manufacturing industries, the 11 industries reporting employment growth in July — in the following order — are: Furniture & Related Products; Printing & Related Support Activities; Miscellaneous Manufacturing[‡]; Machinery; Nonmetallic Mineral Products; Computer & Electronic Products; Electrical Equipment, Appliances & Components; Fabricated Metal Products; Primary Metals; Transportation Equipment; and Food, Beverage & Tobacco Products.



Supplier Deliveries

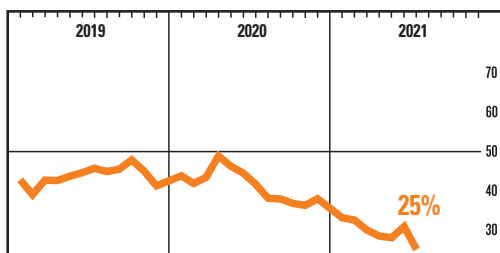
The delivery performance of suppliers to manufacturing organizations was slower in July, as the Supplier Deliveries Index registered 72.5 percent. All 18 industries reported slower supplier deliveries in July, in the following order: Apparel, Leather & Allied Products; Furniture & Related Products; Paper Products; Plastics & Rubber Products; Nonmetallic Mineral Products; Fabricated Metal Products; Computer & Electronic Products; Machinery; Miscellaneous Manufacturing[‡]; Printing & Related Support Activities; Food, Beverage & Tobacco Products; Transportation Equipment; Chemical Products; Textile Mills; Wood Products; Electrical Equipment, Appliances & Components; Primary Metals; and Petroleum & Coal Products.



Inventories

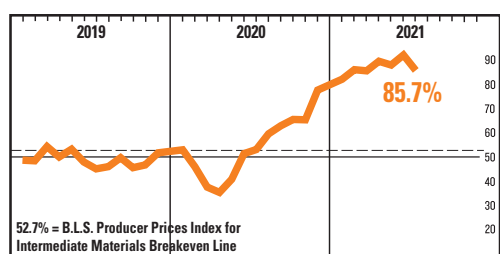
The Inventories Index registered 48.9 percent. The 10 industries reporting higher inventories in July — in the following order — are: Apparel, Leather & Allied Products; Textile Mills; Furniture & Related Products; Printing & Related Support Activities; Nonmetallic Mineral Products; Fabricated Metal Products; Miscellaneous Manufacturing[‡]; Plastics & Rubber Products; Computer & Electronic Products; and Chemical Products.

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



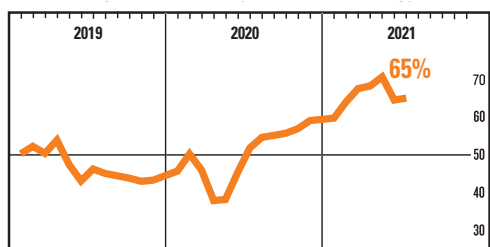
Customers' Inventories

ISM's Customers' Inventories Index registered 25 percent. The only industry reporting higher customers' inventories in July is Apparel, Leather & Allied Products. The 15 industries reporting customers' inventories as too low during July — listed in order — are: Petroleum & Coal Products; Primary Metals; Paper Products; Wood Products; Transportation Equipment; Fabricated Metal Products; Textile Mills; Computer & Electronic Products; Machinery; Miscellaneous Manufacturing[‡]; Plastics & Rubber Products; Electrical Equipment, Appliances & Components; Chemical Products; Furniture & Related Products; and Food, Beverage & Tobacco Products.



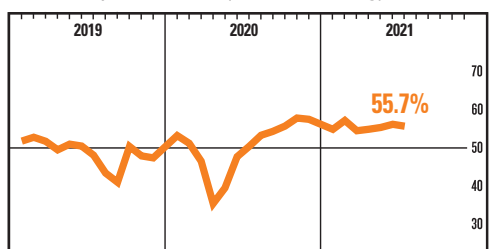
Prices

The ISM Prices Index registered 85.7 percent. In July, all 18 industries reported paying increased prices for raw materials, in the following order: Apparel, Leather & Allied Products; Paper Products; Printing & Related Support Activities; Nonmetallic Mineral Products; Plastics & Rubber Products; Furniture & Related Products; Fabricated Metal Products; Miscellaneous Manufacturing[‡]; Petroleum & Coal Products; Electrical Equipment, Appliances & Components; Machinery; Primary Metals; Transportation Equipment; Computer & Electronic Products; Textile Mills; Chemical Products; Food, Beverage & Tobacco Products; and Wood Products.



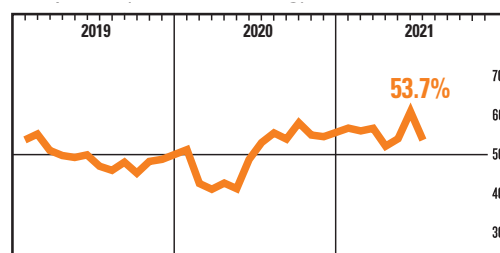
Backlog of Orders

ISM's Backlog of Orders Index registered 65 percent. The 15 industries reporting growth in order backlogs in July, in the following order, are: Apparel, Leather & Allied Products; Furniture & Related Products; Plastics & Rubber Products; Paper Products; Computer & Electronic Products; Transportation Equipment; Machinery; Fabricated Metal Products; Textile Mills; Electrical Equipment, Appliances & Components; Miscellaneous Manufacturing[‡]; Nonmetallic Mineral Products; Chemical Products; Primary Metals; and Food, Beverage & Tobacco Products.



New Export Orders

ISM's New Export Orders Index registered 55.7 percent. The 11 industries reporting growth in new export orders in July — in the following order — are: Furniture & Related Products; Nonmetallic Mineral Products; Primary Metals; Miscellaneous Manufacturing[‡]; Paper Products; Transportation Equipment; Computer & Electronic Products; Machinery; Chemical Products; Fabricated Metal Products; and Food, Beverage & Tobacco Products.



Imports

ISM's Imports Index registered 53.7 percent. The seven industries reporting growth in imports in July — in the following order — are: Nonmetallic Mineral Products; Paper Products; Machinery; Computer & Electronic Products; Chemical Products; Transportation Equipment; and Food, Beverage & Tobacco Products. The three industries reporting a decrease in imports in July are: Furniture & Related Products; Fabricated Metal Products; and Electrical Equipment, Appliances & Components.

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).